Dated

[LANDLORD**]**

and

[TENANT**]**

and

[GUARANTOR**]**

AGREEMENT FOR LEASE **[**WITH **[**MINOR LANDLORD WORKS**]** **[**AND**]** **[**TENANT WORKS**]**

Relating to premises known as **[**ADDRESS**]**

[DRAFTING NOTES:

- THIS AGREEMENT IS INTENDED TO BE USED AS A TEMPLATE. IT SHOULD BE ALTERED TO REFLECT ANY REQUIREMENTS THAT ARE SPECIFIC TO THE PROPERTY, PARTIES AND TERMS OF THE TRANSACTION. A COMPARISON AGAINST THIS TEMPLATE SHOULD BE SUPPLIED WHEN THE DRAFT AGREEMENT IS FIRST SUBMITTED TO THE TENANT'S SOLICITORS.

- USERS SHOULD CONSIDER THE MCL AFL EXPLANATORY NOTE BEFORE USING THIS DOCUMENT.]

MCL

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THIS AGREEMENT is made on

PARTIES

(1) **[ ] [**(company registration number **[ ]**) whose registered office is at**] [**of**] [ ] [**and registered in the register of overseas entities with ID **[ ]]** ("**Landlord**").

(2) **[ ] [**(company registration number **[ ]**) whose registered office is at**] [**of**] [ ]** ("**Tenant**

(3) **[ ] [**(company registration number **[ ]**) whose registered office is at**] [**of**] [ ]** ("**Guarantor**").

IT IS AGREED AS FOLLOWS:

1. **DEFINITIONS**

This Agreement uses the following definitions:

"Access Date"

the earlier of:

(a) **[[ ]**[1] Business Days after **][**the date on which the Landlord Works Completion Notice is issued to the Tenant**]**; and

(b) the date that the Tenant actually enters the Premises for the purpose of commencing the Tenant Works if the Landlord allows in its absolute discretion.

"Act"

any act of Parliament and any delegated law made under it.

"Business Day"

any day other than a Saturday, Sunday or a bank or public holiday in England and Wales.

["Code of Measuring Practice"

the RICS Code of Measuring Practice 6th Edition.]

"Consents"

all necessary permissions, licences and approvals for the Landlord Works or Tenant Works (as the case may be) required under:

(a) any Act, including town and country planning, building and fire regulations;

(b) any bye law or regulation of any competent authority; or

(c) any covenants or provisions affecting the Premises or the Landlord Property or otherwise required from owners, tenants or occupiers of any part of the Landlord Property or any adjoining premises.

[1] When adding time to limb (a), consider the combined effect of this with the period in clause 7.3 (the length of time after practical completion in which the Landlord must give a Landlord Works Completion Notice).

["Electronic Payment"[2]

payment by electronic transfer from a United Kingdom bank account to the United Kingdom bank account nominated by the recipient from time to time.**]**

"Entry Safeguards"

the entry safeguards in clause [5.4] of the Lease.[3]

["Initial Deposit"[4]

the amount of £**[ ].]**

"Insolvency Default Event"

the occurrence in relation to the Tenant **[**or the Guarantor**]** (or, where the Tenant **[**or the Guarantor**]** comprises more than one person, the occurrence in relation to any one or more of those persons) of any of the insolvency events referred to in clause **[**6.1(b)(iii)**]** of the Lease.

"Landlord Property" [5]

the **[**freehold**] [**leasehold**]** property **[**known as**] [**to be known as**] [ ]** which is shown for the purposes of identification only edged blue on the plan **[**contained in Annex **[**2**]] [**numbered **[ ]** annexed to the Lease**]**.

"Landlord Works"

the works **[**outside and to the Premises**]**[6] to be carried out by the Landlord as shown and/or described in the Landlord Works Plans.

"Landlord Works Completion Notice"

a notice given to the Tenant by or on behalf of the Landlord that practical completion of the Landlord Works has been achieved.

"Landlord Works Plans"

the plans, drawings, specifications or other documents at Annex **[ ]**, subject to permitted variations.

"Lease"

the lease of the Premises to be granted to the Tenant by the Landlord under this Agreement in the form at Annex **[**1**]** subject only to such alterations made in accordance with this Agreement and with any variations as may be agreed between the parties.[7]

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2 This follows the tenant obligation relating to payments in MCL leases and is used in Clause 19 (Payments and Interest) and the optional Landlord Inducement payment clause. In contrast to payment requirements in the Standard Commercial Property Conditions (3rd Edition – 2018 Revision) it does not specify that the accounts must be solicitor client accounts to facilitate the flexibility of direct payments between parties or agents where that is agreed – especially in relation to licence fees for occupation prior to completion of lease. The parties may wish to adapt the drafting to provide for different payment requirements for sums payable on completion to ongoing sums such as those.

3 Cross refer to the entry safeguards clause in the Lease.

4 The definition of Initial Deposit is used where a deposit amount is collected before measurement fixes the final amount of rent deposit payable by a tenant. If the rent deposit amount is known or is only payable after measurement then use definition of Rent Deposit only. See also the footnotes to the definition of Rent Deposit in relation to including an amount equivalent to VAT.

5 This definition should correspond to the definition of Building, Estate, or Shopping Centre in the Lease (as appropriate) (if it is lease of part. For leases of whole, the appropriate global changes will be needed to this agreement..

6 Modify if the Landlord works are to common parts or something else.

7 The definition of "Lease" contains wording to accommodate agreed variations to the form of lease which can be helpful in practice. However, where the lease is to be contracted out of the security of tenure provisions in the Landlord and Tenant Act 1954, parties need to consider the impact of any variations on the validity of the contracting out process.

"Lease Completion Date"

[ ][the date 10 Business Days after **[**the date on which the Landlord Works Completion Notice is issued to the Tenant**][**the later of:

(a) the date on which the Landlord Works Completion Notice is issued to the Tenant; and

(b) the Measurement Date**]]**.

["Lettable Area"

the **[**gross**] [**net**]** internal area (in square feet[8]) of the Premises calculated by the Measurement Surveyor in accordance with clause 8.**]**

"Licence for Alterations"

a licence for alterations in the form at Annex **[**5**]**.

"Main Rent"

[the sum defined as Main Rent in the Lease.**][**the amount calculated under clause 11 of this Agreement.**]**

["Maximum Area"

[numbers**]** square feet.**]**[9]

["Measurement Date"

the date the Landlord provides the Measurement Surveyor's calculation of the Lettable Area to the Tenant in accordance with clause 8.1.3.**]**

["Measurement Surveyor"

[agreed surveyor**]** of **[**address**]**[10]**]**.

["Minimum Area"

[numbers**]** square feet.**]**

"Premises"

the premises, forming part of the Landlord Property, known as **[ ]** as described in the Lease.

"Prohibited Materials"

any products or materials that:

(a) do not conform to relevant standards or codes of practice; or

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8 It is best practice to consistently use the same basis of measurement through the whole document. Drafting must be checked carefully to ensure it matches instructions and any inconsistency in metric treated clearly or converted to a consistent measure. This agreement uses sq. ft. as the default.

9 Due to the nature of the Landlord Works contemplated by this agreement, detailed tolerance provisions are not included in the drafting. Instead, the Maximum and Minimum Area should be set to achieve any required tolerances e.g. if the target area is 10,000 sq. ft. and a 5% tolerance has been agreed in each direction, the Maximum Area should be 105,000 sq. ft. and the Minimum Area should be 95,000 sq. ft.

10 Due to the nature of Landlord Works contemplated by this agreement, it is assumed the identity of the measurement surveyor can be fixed in the agreement. Change the definition and consider qualification requirements if flexibility is required.

(b) are generally known within the construction industry at the time of specification to be deleterious to health and safety or the durability of buildings or structures in the particular circumstances in which they are specified for use.[11]

["Reliance Letter"

a letter of reliance from the Measurement Surveyor addressed to the Tenant in the form at Annex **[ ]**[12].**]**

"Rent Commencement Date"[13]

[ ][the date **[ ] [**weeks**][**months**]** after the **[**Access Date**]]**.

["Rent Deposit"

[the rent deposit amount specified in the Rent Deposit Deed**]**.

[[14] **[ ]**%[15] of the Main Rent calculated under clause 12.2[16]**]]**

["Rent Deposit Deed"

a rent deposit deed in the form at Annex **[**6**].]**

"Tenant Works"

the initial works to be carried out by the Tenant:

(a) **[**as**] [**to be**]** shown and/or described in the Tenant Works Plans; and/or

(b) for which, under the terms of the Lease, the Landlord's consent is not required.

"Tenant Works Plans"

the plans, drawings, specifications or other documents setting out details of the Tenant Works **[**at Annex **[**4**]** and any documents later[17]**]** submitted to and approved by the Landlord in relation to the Tenant Works in accordance with this Agreement.

"Term Commencement Date"[18]

the Access Date.

"Title Matters"

the matters set out in Schedule **[**4[19]**]** to the Lease.

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11 The definition is the same as used in the context of tenant works across the MCL suite. If the Landlord is using a building contract or other appointment for the Landlord Works, it should check the terms of that appointment to ensure consistency.

12 The form of reliance letter should be able to be fixed if the identity of the Measurement Surveyor is fixed.

13 Take care in defining rent commencement date and use the correct triggers for the nature of the transaction.

14 This option is for where the rent deposit amount will not be fixed until the Main Rent is calculated following measurement. An amount in respect of VAT should be included if the parties have agreed that.

15 Expected to be 50% for a 6 month rent deposit; 25% for a 3 month rent deposit etc. If the parties have agreed that an amount in respect of VAT should be included, the percentage needs to take that into account (i.e. a rent deposit of 50% of the annual rent would be 60% of the Main Rent once 20% in respect of VAT added on).

16 Calculation of Main Rent following measurement,

17 Remove the words in square brackets if the "no plans" option is included in the tenant works provisions in this agreement.

18 This agreement uses the Access Date for the Term Commencement Date but retains (and uses) the Term Commencement Date definition in order to provide the structure for alternatives (e.g. if all works provisions are not being used and there is no access until the Term Commencement Date or if the commercial agreement is that the term will be calculated from an earlier date (e.g. a quarter day before Access)).

19 Check and cross refer to the Title Matters schedule in the Lease.

"Today"

the date of this Agreement.

"VAT"

value added tax or any similar tax from time to time replacing it or performing a similar function.

2. **INTERPRETATION**

2.1 All headings in this Agreement are for ease of reference only and will not affect its construction or interpretation.

2.2 In this Agreement, "includes", "including" and similar words are used without limitation or qualification to the subject matter of the relevant provision.

2.3 In this Agreement:

2.3.1 "notice" means any notice, notification or request given or made under it; and

2.3.2 a notice must be given or made in writing; and

2.3.3 where service of a **formal notice** is required, that notice must comply with and be served in accordance with clause 24.

2.4 References in this Agreement to:

2.4.1 the Landlord include any other person who becomes the immediate landlord of the Tenant or is otherwise a successor in title to the Landlord (except in relation to obligations on the Landlord expressed to be personal);

2.4.2 the Tenant mean the Tenant only;

2.4.3 "the Premises" mean the whole or an individual part or parts unless inappropriate in the context used;

2.4.4 "adjoining premises" mean any land or buildings adjoining or nearby the Premises, whether or not owned by the Landlord (unless express reference is made to the Landlord's ownership of those premises);

2.4.5 an Act are to that Act as amended from time to time and to any Act that replaces it;

2.4.6 the singular include the plural and vice versa, and one gender include any other;

2.4.7 clauses, Schedules and Parts of Schedules are to the clauses, Schedule and Parts of Schedules to this Agreement and references to paragraphs are to the paragraphs of the Schedule, or Part of the Schedule, in which the references are made;

2.4.8 approval, consent or decision of or by a party to this Agreement mean a prior written approval or decision that is not to be unreasonably withheld or delayed (and in the case of a decision, made acting reasonably) except where this Agreement states that the relevant party has absolute discretion. References to decides/decided/approves/approved/consents/consented have equivalent meanings)[20];

2.4.9 any sums being payable on demand or when demanded mean being payable when demanded in writing; and

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[20] This clause reflects the MCL's general concept of reasonableness. The default position of any approval, consent or decision by either party will be that it is subject to reasonableness. If users are including any additional provisions they should take care to ensure that any expectation of absolute discretion is expressly preserved.

2.4.10 the provision of plans, drawings, specifications or other documents mean their provision **[**in hard copy or**]**[21] electronically in PDF format or in any other easily readable format as may be appropriate in the context of the purpose for which they are provided and the nature of the information that they contain, but not in a format that is proprietary to a particular computer system or program that cannot be imported into or easily read by another computer system or program.

2.5 Obligations in this Agreement:

2.5.1 owed by or to more than one person are owed by or to them jointly and severally;

2.5.2 to do something include an obligation not to waive any obligation of another person to do it; and

2.5.3 not to do something include an obligation not to permit or allow another person to do it.

2.6 The Tenant will be liable for any breaches of its obligations in this Agreement committed by:

2.6.1 any occupier of the Premises authorised by the Tenant or its or their respective employees, licensees or contractors; and

2.6.2 any person under the control of the Tenant or acting under the express or implied authority of the Tenant.

2.7 The Landlord will be liable for any breaches of its obligations in this Agreement committed by any person under the control of the Landlord or acting under the express or implied authority of the Landlord.

2.8 **[**[22]The Landlord will not be liable in respect of any claims for loss of profits, loss of business or indirect losses of any kind arising from any breach by the Landlord of its obligations contained in this Agreement or arising from any other claims under this Agreement.**]**

2.9 Nothing in this Agreement limits or excludes liability:

2.9.1 for any matter (including fraud) where; or

2.9.2 to any extent beyond which,

it would be unlawful to do so or attempt to do so.

2.10 Where either the Landlord or the Tenant must pay any costs that the other incurs (or any proportion of them) under this Agreement, those costs must be reasonable and proper and reasonably and properly incurred. Licence fees payable by the Tenant under clause 10 are not costs incurred by the Landlord for this purpose[23].

2.11 If any provision or part of any provision of this Agreement is held to be illegal, invalid or unenforceable, that provision or part will apply with such modification as may be necessary to make it legal, valid and enforceable. If modification is not possible, that provision or part will be deemed to be deleted. The legality, validity or enforceability of the remainder of this Agreement will not be affected.

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21 Parties may wish to exclude the use of hard copy documents.

22 Parties should consider their commercial expectations in relation to the inclusion of this clause. The drafting acknowledges that while direct losses, like the cost of alternative accommodation, are recoverable, an exposure to potential indirect losses and loss of profit for the tenant, may outweigh the commercial benefit of the transaction to the landlord.

23 This clarification is to avoid the part of those licence fees equivalent to service charge being subject to this reasonableness requirement. The licence fees would be calculated by reference to the service charge provisions in the lease.

2.12 The definitions in Clause 1 and the interpretation provisions in this Clause 2 do not apply to the Annexures to this Agreement.[24]

3. **AGREEMENT FOR LEASE**

The Landlord must grant the Lease with full[25] title guarantee **[**(subject to the variations set out in Schedule **[ ]** of the Lease)**]** and the Tenant must accept the Lease in accordance with this Agreement.

4. **[RENT DEPOSIT[26]**

Option 1 – Rent deposit amount paid on completion[27]

4.1 The Tenant must pay the Rent Deposit by Electronic Payment to the [Landlord][Landlord's solicitors] on the Lease Completion Date[28]].

4.2 Any interest on late payment by the Tenant belongs to the Landlord and will not be credited to the Rent Deposit.

Option 2 – rent deposit amount paid before completion as security for completion[29]

4.3 The Tenant must pay the Initial Deposit by Electronic Payment to the **[**Landlord**][**Landlord's solicitors**] [**Today**][**on the Access Date**]**.

4.4 The Landlord must **[**procure that the Landlord's solicitors**]** hold the Initial Deposit (together with accrued interest (if any) as stakeholder to be:

4.4.1 **[**paid to**][**retained by**]** the Landlord absolutely on termination of this Agreement under clause 20.1[30]; or

4.4.2 returned to the Tenant on termination of this Agreement under clause 20.3[31]; or

4.4.3 **[**paid to**][**retained by**]** the Landlord from and including the **[**Access Date**][**completion of the Rent Deposit Deed**]** to be held in accordance with the Rent Deposit Deed.

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24 Third parties preparing annexures (e.g. specifications, plans, reference documents) do not usually do so with the benefit of the definitions or interpretation provisions. This provisions means annexures stand on their own as most likely intended but can obviously be modified where specifically required.

25 The agreement provides for full title guarantee by default due to the very limited circumstances in which a lesser title guarantee would be appropriate - but the absence of alternatives does not mean that the MCL is suggesting full title guarantee is appropriate in every situation.

26 There is no single market position for dealing with rent deposits when entering into agreements for lease. The terms and timing of putting the security in place depend on the nature of the transaction, the parties, their respective bargaining positions and the deposit amount. The drafting in the MCL AFL reflects the most common arrangements but may not be exhaustive and does not necessarily mean that the MCL Committee is holding out either option as the market standard.

27 Use this option if the landlord is to collect the rent deposit on the lease completion date (i.e. after any measurement). Note this obligation requires the tenant to pay the amount whether or not the lease and rent deposit deed are completed on the Lease Completion Date.

28 Note that the obligation to pay the Rent Deposit is linked to the date the Lease and Rent Deposit Deed are supposed to complete – not the date they actually complete.

29 Include this provision if rent deposit money is to be paid to the Landlord at any time before completion. If this clause is used, ensure that it is not made a personal obligation on the landlord under clause 25 (Landlord Obligations). When considering when to collect rent deposit on exchange consider the length of time the deposit is likely to be held. A stakeholder arrangement may be appropriate when the period the deposit will be held is likely to be similar to the period under a sale contract. Landlord's solicitors may not want to hold the deposit for a long period of conditionality or landlord works. There are a variety of deposit processes in the market and the drafting is provided to reflect different practices in the market and is not intended to suggest that a particular practice is the norm.

30 Termination on tenant insolvency and event of default.

31 Termination due to the Landlord Works not being completed.

4.5 On the Lease Completion Date[32]:

4.5.1 if the Initial Deposit is less than the Rent Deposit, the Tenant must pay the balance of the Rent Deposit to the Landlord by Electronic Payment to be held on the terms of the Rent Deposit Deed (whether or not the Rent Deposit Deed completes on that date); or

4.5.2 if the Initial Deposit is more than the Rent Deposit, the Landlord must credit the difference against the Tenant's liability for payments under this Agreement or the Lease (or refund the difference to the Tenant by Electronic Payment).

4.6 Any interest on late payment by the Tenant belongs to the Landlord and will not be credited to the Rent Deposit.

4.7 On completion of the Rent Deposit Deed, the amount of the Rent Deposit will be inserted into the definition of **[**Deposit[33]**]** in the Rent Deposit Deed.

5. **[LANDLORD INDUCEMENT PAYMENT][34]**

5.1 In this clause, "**Landlord Inducement**" means **[**AMOUNT IN WORDS**]** pounds (£**[**AMOUNT IN FIGURES**]**).

5.2 Subject to clause 5.3, the Landlord must pay the Landlord Inducement to the Tenant [35]**[**within 10 Business Days of**] [**on**] [**the Lease Completion Date**] [**the grant of the Lease**] [**the date the Tenant first opens the Premises for trade[36]**] [ ]. [**or if later, [10] Business Days after the Tenant gives the Landlord an invoice for the Landlord Inducement.**]**[37]

5.3 If on the date the Landlord Inducement is due to be paid there is an Insolvency Default Event, the Landlord will be released from its obligation to pay the Landlord Inducement.

5.4 [38] **[**The Landlord and the Tenant intend and expect that the Landlord Inducement is outside of the scope of VAT because it is an inducement for the Tenant to take the Lease and not directly linked to a specific benefit supplied by the Tenant to the Landlord.

5.5 If HM Revenue & Customs directs that VAT should be payable on the Landlord Inducement then the Landlord must pay to the Tenant VAT within 10 Business Days of receipt of a VAT invoice together with evidence of the direction.**]**

5.6 All payments under this clause must be made by Electronic Payment.

6. **[LANDLORD CONTRIBUTION TO TENANT WORKS][39]**

6.1 This clause uses the following definitions:

["CIS"

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32 Note that the obligation to top up the Initial Deposit is linked to the date the Lease and Rent Deposit Deed are supposed to complete – not the date they actually complete.

33 The MCL Rent Deposit Deed (MCL-DEPOSIT-01) uses the definition "Deposit".

34 Use this clause for a pure reverse premium not linked to the tenant's works.

35 Options for the timing of the payment are provided. The choice will depend on the commercial agreement and the timing of and landlord and tenant works.

36 This option is intended for retail leases only.

37 This alternative is included for use by landlords who require an invoice to process payments regardless of whether VAT is payable.

38 These clauses should be included if the inducement is out of scope of VAT in accordance with HMRC VAT Notice 742 para 10. If VAT is payable on the inducement payment because there is a specific benefit supplied by the Tenant to the Landlord the clauses should be omitted. Refer to HMRC Manual VAT Supply and Consideration VATSCO5862 and VATSCO5863. Tax advice is recommended.

39 Use this option where payment is linked to tenant's works.

the Construction Industry Scheme referred to in chapter 3 of part 3 to the Finance Act 2004 and The Income Tax (Construction Industry Scheme) Regulations 2005 (SI 2005/2045) (**"CIS Regulations"**).**]**

["HMRC"

HM Revenue and Customs.**]**

"**Landlord Contribution**"

[AMOUNT IN WORDS**]** pounds (£**[**AMOUNT IN FIGURES**])]**.

"UTR"

Unique Taxpayer Reference

6.2 Subject to clause 6.3 **[**and clauses 6.8 and 6.9**]**, the Landlord must pay the Landlord Contribution towards the cost of the Tenant Works to the Tenant **[**within 10 Business Days of**]** **[**on**]** the later of:

6.2.1 [40]**[**the Lease Completion Date**]** **[**the grant of the Lease**]** **[**the date the Tenant first opens the Premises for trade[41]**][ ]**; and

6.2.2 receipt by the Landlord of **[**a VAT**]** **[**an**]** invoice in relation to the Landlord Contribution.

6.3 If on the date the Landlord Contribution is due to be paid there is an Insolvency Default Event, the Landlord will be released from its obligation to pay the Landlord Contribution.

6.4 [42] **[**The Landlord and the Tenant intend and expect that the Landlord Inducement is outside of the scope of VAT because it is an inducement for the Tenant to take the Lease and not directly linked to a specific benefit supplied by the Tenant to the Landlord.

6.5 If the Landlord decides or HMRC directs that VAT should be payable on the Landlord Inducement then the Landlord must pay to the Tenant VAT within 10 Business Days of receipt of a VAT invoice (together with evidence of HMRC's direction (if applicable).**]**

6.6 **[**The Landlord confirms that it is an end user for the purposes of the Value Added Tax (Section 55A) (Specified Services and Excepted Supplies) Order 2019 (SI 2019/892).**]**[43]

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40 Options for the timing of the payment are provided. The choice will depend on the commercial agreement and the timing of and landlord and tenant works. No express option for completion of the Tenant Works triggering payment is included because the Tenant is only obliged to complete the Tenant Works if commenced (clause 9.7). If that is the commercial agreement, then a mechanism for signing off completion of Tenant Works will need to be included with the Tenant obligation (whether or not the Tenant obligation is also made absolute).

41 This option is intended for retail leases only.

42 These clauses should be included if the inducement is out of scope of VAT in accordance with HMRC VAT Notice 742 para 10. Unlike the pure inducement not connected to works, a contribution towards the Tenant Works could be within the scope of VAT if the works go beyond normal tenant fitting out. Tax advice is recommended. If VAT is payable on the inducement payment the clauses should be omitted. Refer to HMRC Manual VAT Supply and Consideration VATSCO5862 and VATSCO5863 and other sections.

43 The "end user" confirmation is relevant where VAT is payable to avoid the VAT reverse charge. Tax advice is recommended.

6.7 **[**[44]The Landlord and Tenant intend and expect that the Landlord Contribution is not a contract payment due to Regulation 20 or 20A of the CIS Regulations.

6.8 If the Landlord decides or HMRC directs that the Landlord Contribution (or any part of it) does not fall within the exceptions in Regulation 20 or 20A of the CIS Regulations, the Landlord Contribution will not be payable until:

6.8.1 the Tenant has produced to the Landlord (as required by the CIS) details of the Tenant's company number, UTR and trading name; and

6.8.2 the Landlord has verified with HMRC using the information provided under clause 6.8.1, that the Tenant is a registered sub-contractor for the purposes of CIS.

6.9 If the Landlord (acting reasonably) has been unable to verify that the Tenant is a sub-contractor for the purposes of the CIS:

6.9.1 the Landlord must deduct any tax from the Landlord Contribution that is required by the CIS before paying the balance to the Tenant;

6.9.2 the deducted amount will not become payable until the Tenant's status as a sub-contractor is verified by the Landlord; and

6.9.3 the Landlord must:

(a) account to HMRC in accordance with the CIS for any tax deducted; and

(b) give the Tenant a payment and deduction statement containing the information required by regulation 4 of the CIS Regulations.**]**

6.10 [45] **[**The Landlord and Tenant agree that:

6.10.1 the Landlord may claim all capital allowances relating to items of plant and machinery included in the Tenant Works up to the amount of the Landlord Contribution which will be attributed to Tenant Works eligible for allowances at the highest rate available until the maximum amount (if not all) of the Landlord Contribution has been applied to qualifying expenditure; and

6.10.2 the Tenant will be entitled to claim any capital allowances that may be available in excess of the amount of the Landlord's Contribution.

6.11 The Tenant must co-operate with the Landlord (including allowing access to the Premises (subject to the Entry Safeguards) and providing any reasonably necessary documents) to the Landlord (or an appropriate consultant appointed by the Landlord) to assess the eligibility of the Tenant Works for capital allowances.**]**

6.12 All payments under this clause must be made by Electronic Payment.

7. **[LANDLORD WORKS**

Obligations when carrying out the Landlord Works

7.1 The Landlord must carry out and complete the Landlord Works:

7.1.1 as soon as reasonably practicable;

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[44] The CIS drafting provided assumes that the contribution relates to works that the parties are comfortable falls within Regulations 20 or 20A of the CIS Regulations. The parties should take appropriate tax advice as to the treatment of contribution payments and in the case of tenant works that fall outside of Regulations 20 and 20A, additional or alternative drafting will be required to cater for the treatment of the payment in the circumstances.

[45] If it is agreed that the landlord should be able to claim capital allowances on the contribution to the maximum extent possible, then this and the following sub-clause should be included.

7.1.2 in accordance with the Landlord Works Plans (subject to clause 7.2);

7.1.3 in a good and workmanlike manner and with good quality materials;

7.1.4 without using Prohibited Materials; and

7.1.5 in compliance with the Consents and all Acts.

7.2 The Landlord may make minor variations to the Landlord Works Plans if:

7.2.1 reasonably necessary to comply with any Consents or Acts; or

7.2.2 the variation will not materially adversely affect the use, occupation or layout of the Premises or access to them following completion of the Landlord Works,

and the Landlord must notify the Tenant of any variations as soon as reasonably practicable.

Completion of the Landlord Works

7.3 The Landlord must give a Landlord Works Completion Notice to the Tenant within five Business Days after practical completion of the Landlord Works[46]. **[**A Landlord Works Completion Notice must be given by formal notice.**]**

7.4 A Landlord Works Completion Notice given under clause 7.3 is final and binding for the purposes of ascertaining the Access Date and/or Lease Completion Date but does not affect the Landlord's liability under Clause 7.1.

7.5 The Landlord must remove all debris and equipment used in carrying out the Landlord Works as soon as reasonably practicable following practical completion of the Landlord Works and in any event within 10 Business Days of the date of the Landlord Works Completion Notice.

7.6 The Landlord must procure that any items of outstanding works, snagging matters and defects which are the responsibility of the Landlord and notified by the Tenant to the Landlord no later than 11 months[47] after the date of the Landlord Works Completion Notice are completed or remedied as soon as reasonably practicable.

7.7 The Tenant must, after the Access Date, permit the Landlord (and all those authorised by the Landlord) to have access (subject to the Entry Safeguards) to such parts of the Premises as may reasonably be required in connection with any outstanding work, snagging matters and/or preparation of a schedule of defects.

8. **[MEASUREMENT**

8.1 When the Premises are properly capable of measurement, the Landlord must:

8.1.1 instruct the Measurement Surveyor as soon as reasonably practicable to:

(a) measure the Premises in accordance with the Code of Measuring Practice;

(b) calculate the Lettable Area in accordance with this Agreement, assuming that the Tenant Works and any other works carried out by or on behalf of the Tenant have not been carried out; and

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46 The parties should consider whether the nature of the works require any supplemental documents (e.g. testing certificates) to be supplied with a Landlord Works Completion notice (or separately).

47 Due to the nature of the Landlord Works contemplated by this agreement, a Landlord may have an informal or simple contract with a contractor. However it is still assumed that there would be a 12 month period for snagging and defects. The 11 month period stated in this clause is to allow for the landlord to receive any notice from its contractor and serve a Landlord Works Completion Notice on the tenant. 11 months is considered a fair balance between giving the Landlord the time to deal with notices from its contractor (if any) and giving a Landlord Works Completion Notice without materially impacting the Tenants protection against snagging and defects. If the Landlord Works Completion Notice is given 10 Business Days after the date of practical completion then that leaves a further small leeway for the Landlord after the end of this 11 month period as well.

(c) provide a copy of the calculation and any measurement report to the Landlord;

8.1.2 pay the costs charged by the Measurement Surveyor in relation to those instructions; **[**and**]**

8.1.3 provide the Tenant with a copy of the Lettable Area calculation and any measurement report prepared by the Measurement Surveyor within five Business Days following receipt by the Landlord**[.][**; and

8.1.4 procure that the Measurement Surveyor provides a signed Reliance Letter[48] addressed to the Tenant within 10 Business Days after the Measurement Date and in any event prior to the Access Date.**]**

8.2 The calculation of the Lettable Area by the Measurement Surveyor will be final and binding on the Landlord and Tenant but will not release the Landlord from any of its obligations in this Agreement in relation to the carrying out and completion of the Landlord Works[49].**]**

9. TENANT WORKS

9.1 [50]**[**The Tenant must submit to the Landlord no later than the Access Date detailed drawings and specifications for the Landlord's approval in accordance with the Lease (which will be in the Landlord's absolute discretion where the Lease allows).

9.2 **[**The Tenant must procure that the documents submitted to the Landlord in accordance with clause 9.1 comply with **[ ].]**[51]

9.3 To the extent approved by the Landlord, the documents submitted under clause 9.1 will be the Tenant Works Plans for the purposes of this Agreement.**]**

9.4 [52]**[**If the Tenant desires to make any changes to the Tenant Works Plans, the Tenant must submit relevant documents ("**Additional Documents**") to the Landlord for the Landlord's approval in accordance with the Lease (which will be in the Landlord's absolute discretion where the Lease allows).

9.5 **[**The Tenant must procure that the Additional Documents submitted to the Landlord in accordance with clause 9.4 comply with **[ ].]**[53]

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48 This optional requirement for a reliance letter can be used if reliance is being given because measurement links to either the ability to terminate (clause 20.4) or the level of rent or service charge cap (clause 11). Although reliance letters are common with measurement surveyors, but it is possible the particular surveyor may give reliance using third party rights. If the parties know who the measurement surveyor is likely to be, then this should be clarified before entering into the agreement.

49 If the measurement shows a failure to comply with specific requirements set out in the Landlord Works Plans, the fact that the measurement is final and binding on the Tenant should not deprive the Tenant of appropriate remedies for the breach. If the breach results in a failure to deliver an area within the Minimum and Maximum Areas then this could be a termination right under clause 20.4 (if included) but it would otherwise be a right to claim damages for any losses.

50 Clauses 9.1, 9.2 and 9.3 are for where the Tenant has not provided any Tenant Works Plans before entering into the agreement.

51 This clause is included for landlords who require tenant works to be designed in accordance with specific design guides. These should be referred to here to ensure plans submitted under this clause adhere to those requirements. The landlord has the chance to ensure plans approved at the point of contract comply, so this obligation is not repeated in the tenant's obligations of how to carry out its works – but if landlords have specific works requirements not set out in the contract, then appropriate drafting will be needed.

52 Clauses 9.4, 9.5 and 9.6 are to provide for circumstances where the Tenant is permitted to make changes to the plans attached to the agreement after the agreement has been entered into.

53 This clause is included for landlords who require tenant works to be designed in accordance with specific design guides. These should be referred to here to ensure plans submitted under this clause adhere to those requirements. The landlord has the chance to ensure plans approved at the point of contract comply, so this obligation is not repeated in the tenant's obligations of how to carry out its works – but if landlords have specific works requirements not set out in the contract, then appropriate drafting will be needed.

9.6 As from the date that the Landlord notifies the Tenant that the Additional Documents are approved, the Additional Documents will be deemed to form part of the Tenant Works Plans for the purposes of this Agreement.**]**

9.7 [54]The Tenant must (if the Tenant Works are commenced) carry out and complete the Tenant Works in accordance with the Tenant's obligations in **[**the Licence for Alterations**][**Schedule **[**6**]** (Works) of the Lease**]**.

10. **TENANT OCCUPATION BEFORE COMPLETION OF THE LEASE**

10.1 On and from the Access Date until completion of the Lease:

10.1.1 the Tenant may enter and remain in the Premises by way of licence;

10.1.2 the Tenant will not have or be entitled to have any estate right or interest in the Premises;

10.1.3 [55]**[**the Tenant must not open and trade from the Premises or use them for the purpose authorised by the Lease until either the Lease is completed or the Tenant has provided an executed lease which is irrevocably released to the Landlord with the Tenant's authority to complete it;**]**

10.1.4 the Tenant must pay to the Landlord licence fees equal to the sums payable to the Landlord under the Lease **[(**and if the Main Rent has not yet been calculated under Clause 11, the sum of **[[**AMOUNT IN WORDS**]** pounds (£**[**AMOUNT IN FIGURES**]** on account of the Main Rent pending that calculation)**]** which would have been payable under the Lease had the Lease been completed on the Access Date and those licence fees will be payable in the same manner and in respect of the same periods as those sums[56];

10.1.5 subject to clauses 10.1.1 and 10.1.2, the parties must comply with the obligations in the Lease (except payment of sums reserved as rent) **[**and the Licence for Alterations**]** as if **[**it**] [**they**]** had been completed on the Access Date to the extent consistent with the terms of this Agreement; and

10.1.6 the Landlord is entitled to all remedies by action or otherwise for recovering any money or for breach of any of the Tenant's obligations as if the Lease had been granted.

10.2 Any licence fees payable by the Tenant under clause 10.1.4 will be credited against the Tenant's liability to pay the sums reserved as rent in the Lease once completed to the extent that such licence fees relate to the same periods for payment of those sums.

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54 This clause is relevant regardless of the state of approval before entering into the agreement. Note the Tenant is only obliged to complete the works if commenced. Check that this is the commercial agreement – particularly if the Landlord is receiving any benefit from the works or is making a financial contribution towards them (whether as an inducement payment or by way of rent free).

55 Restrictions on use and occupation before completion are unusual – however consider this carefully if the Lease is a turnover lease. The substituted turnover calculation (para 8.2 of MCL-LEASECLAUSE-01 (but other reference in other turnover leases) will apply to this closure period as long as this AFL obligation is not added to permitted closures under para 8.1.

56 This provision assumes additional sums such as service charge, insurance, turnover rent etc. are reserved as rent.

11. **INSURANCE AND RISK**

11.1 The Landlord must insure the Landlord Property in accordance with its obligation in the Lease and subject to the conditions set out in the Lease.

11.2 The Tenant must not refuse to complete or delay completion of the Lease due to destruction or damage to the Premises or Landlord Property or access or services to them.

12. **TERMS OF THE LEASE**

12.1 The Contractual Term in the Lease will be a term of **[ ]** years starting on the Access Date.

12.2 **[[**Subject to clause 12.3, the**][**The**]** figure to be inserted in the definition of Main Rent in the Lease (exclusive of VAT) will be calculated in accordance with the following formula:

A x B

Where:

A is the Lettable Area; and

B is **[**AMOUNT IN WORDS**]** POUNDS (£**[**AMOUNT IN FIGURES**]**[57])

12.3 **[**If the Lettable Area is greater than the Maximum Area:

12.3.1 the Main Rent to be reserved by the Lease will be **[**AMOUNT IN WORDS**]** POUNDS (£**[**AMOUNT IN FIGURES**])][**. OR ; and**]**

12.3.2 the Lease will include the following additional assumption in the rent review provisions at **[[**clause **[**NUMBER**]** OR paragraph **[**NUMBER**]** of Schedule **[**NUMBER**]]:**

"The Premises have a gross/net internal area of **[**INSERT MAXIMUM AREA**] [**square metres**] [**square feet**]".]**

12.4 The Main Rent will be payable from and including the **[**Access Date**][**Rent Commencement Date**]**.

12.5 **[**The date to be inserted in the definition of Ancillary Rent Commencement Date[58] in the Lease will be **[[ ]** months after[59]**]** the Access Date.**]**

12.6 **[**The Initial Service Charge Cap[60] to be inserted in paragraph **[ ]** of Schedule **[ ]** to the Lease will be calculated as follows:

C x D

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57 Check the amount is the per sq. ft. amount – or if sq. ft has been substituted in this agreement for sq. m, ensure consistency here.

58 Check the relevant definition in the lease. (The definition of Ancillary Rent Commencement Date is used in the MCL leases.)

59 A delayed Ancillary Rent Commencement Date will be quite rare and likely only needed if the Term Commencement Date is fixed to an artificial reference date (e.g. an earlier quarter day) rather than the point when the Tenant takes the Premises.

60 Cross check terminology in the Lease.

Where:

C is the Lettable Area;

D is **[**AMOUNT IN WORDS**]** POUNDS (£**[**AMOUNT IN FIGURES**]**).**]**[61]

12.7 The payments on account of Service Charge (as defined in the Lease) will be calculated in accordance with the Lease, but if the calculation has not been made by the Ancillary Rent Commencement Date referred to in clause 12.5, then the payments on account will be based on the Landlord's proper and reasonable estimate of them and (on the calculation being made) any overpayment must be repaid or credited to the Tenant, or underpayment paid to the Landlord.

12.8 The rent review date**[**s**]** to be inserted in the definition of Rent Review Date(s)[62] in the Lease will be the **[**fifth**]** anniversary of the **[**Term Commencement Date**] [**and every subsequent **[**fifth**]** anniversary of that date**]**[63].

12.9 **[**The date to be inserted in the definition of Break Date in the Lease will be **[ ] [**the date which is **[ ][**years**]** after the **[**Term Commencement Date**]]**.

13. **TITLE**

13.1 The Landlord has deduced title to the Landlord Property and the Premises consisting of the Title Matters and the Tenant will raise no requisition, objection or enquiry in relation to the title or in relation to the Title Matters (except for any matters first revealed by pre-completion searches or Solicitor's Completion Requirements requested by the Tenant).

13.2 The Lease is granted subject to all:

13.2.1 Title Matters;

13.2.2 matters affecting the Premises or their use either registered or capable of registration as local land charges and all notices, charges, orders, resolutions, demands, proposals, requirements, restrictions, agreements, directions or other matters affecting the Premises or their use served or made by any local or other competent authority or otherwise arising under any statute or under any regulation or order made under any statute (whether in existence Today or arising at any later date); and

13.2.3 rights, easements, privileges, restrictions, covenants and stipulations of any nature affecting the Premises.

14. **REPRESENTATIONS**

14.1 In this clause "**Replies to Enquiries**"[64] means any replies given in writing (including by email) by the Landlord's solicitors before Today, and addressed to the Tenant or its solicitors, to:

14.1.1 the Commercial Property Standard Enquiries; and/or

14.1.2 any additional or alternative pre-contract enquiries raised by or on behalf of the Tenant.

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61 Check the amount is the per sq. ft. amount – or if sq. ft has been substituted in this agreement for sq. m, ensure consistency here.

62 The location will depend on the drafting of the lease and could be in the defined terms or rent review provisions.

63 Note – this is usually the term commencement date but alternatives are provided to prompt a check of the commercial agreement and mechanism that has been drafted.

64 Users should adapt this limitation appropriately – for example if pre-contract disclosure is made through a dataroom that is not provided by the Landlord's solicitors then the clause should be expanded or adapted appropriately. Tenant's solicitors should ensure that anything being relied on is covered by the drafting.

14.2 The Tenant **[**and the Guarantor**]** acknowledge**[**s**]** that **[**it has**][**they have**]**:

14.2.1 not entered into this Agreement in reliance upon any representation or warranty made by or on behalf of the Landlord except those in the Replies to Enquiries;

14.2.2 been given the opportunity to inspect the Premises and to satisfy **[**itself**][**themselves as to their physical condition, extent and fitness for purpose; and

14.2.3 satisfied **[**itself**][**themselves**]** on matters relating to the use of the Premises in relation to all legislation relating to town and country planning from time to time in force.[65]

15. **OVERSEAS ENTITIES**[66] [67] [68]

15.1 In this clause **"Overseas Entity"** and **"Registered Overseas Entity"** have the meaning set out in paragraph 7 of Schedule 4A to the Land Registration Act 2002[69].

15.2 If the Landlord is an Overseas Entity it must:[70]

15.2.1 be a Registered Overseas Entity at completion of the Lease and remain a Registered Overseas Entity until completion of the Tenant's application to HM Land Registry to register the Lease[71]; and

15.2.2 on completion of the Lease provide any evidence that the Landlord is compliant with clause 15.2.1 (which is not publicly available) that is reasonably required by the Tenant.

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65 The corresponding provision can be deleted from the form of Lease.

66 If the grant of the Lease is a registrable disposition and either or both of the Landlord and the Tenant are overseas entities, the restrictions in Schedule 4A to the Land Registration Act will apply. Unless registered as the owner of the Property pursuant to an application made to HM Land Registry before 1 January 1999, the Landlord (if an overseas entity) will be subject to the restrictions on making registrable dispositions in paragraph 3 or paragraph 4 of Schedule 4A and will commit a criminal offence under paragraph 6 if it grants the Lease in breach of those restrictions. If the Tenant is an overseas entity, it will have no right to make its application to be registered as the owner of the Lease unless it is a Registered Overseas Entity (paragraph 2 of Schedule 4A) and, as it is not entitled to be registered as the owner of the Lease, will not be able to exercise any of the owner's powers granted to a person entitled to be registered as the proprietor under sections 23 and 24 of the Land Registration Act 2002.

67 The provisions in this clause do not deal with the possibility of an exempt overseas entity that may be specified in regulations under section 34(6) ECTEA (because at the time of drafting there are no exempt entities). It also does not deal with the possibility of the grant of the lease (and any other registrable dispositions in the transaction) being exempt under paragraphs 3 or 4 of Schedule 4A to the Land Registration Act 2002 because this is considered unlikely in the majority of cases – however users should consider whether drafting is required for this possibility.

68 This agreement does not deal with the provision of an opinion letter and drafting will need to be added if an agreement is place to provide one after exchange. Clause 15.6 attempts to deal with the narrow point of valid execution to meet HM Land Registry requirements but does not address wider issues that could be covered by a overseas legal opinion.

69 This includes the duty to keep the information on the Register of Overseas Entities up to date and to comply with any information request made by the Registrar of Companies under section 1092A of the Companies Act 2006.

70 Breach of paragraph 6(1) of Schedule 4A Land Registration Act 2002 (making a disposition in breach of an ECTEA Restriction) is a criminal offence and so all parties will want to be sure that there is no potential for breach.

71 If HM Land Registry cancel the application because the Lease is defective and it is necessary to regrant the Lease, the Landlord will need to be a Registered Overseas Entity at the date that the Lease is regranted. The Tenant will want to ensure that the Landlord remains a Registered Overseas Entity in case it is necessary to regrant the Lease to enable it to be registered

15.3 The Tenant is not obliged to accept the grant of the Lease (or enter into any of the documents referred to in Clause 16.3) if the Landlord is an Overseas Entity that is not a Registered Overseas Entity.

15.4 If requested by the Tenant, the Landlord must provide (at its own cost) any additional information, confirmations or evidence required by HM Land Registry relating to the Landlord's status as a Registered Overseas Entity at completion of the Lease to ensure the Tenant's application to register the Lease can be successfully completed.

15.5 If the Tenant is an Overseas Entity it must take all necessary steps to be a Registered Overseas Entity at the time of making the application to register the Lease at HM Land Registry and remain a Registered Overseas Entity until that registration has been completed.

15.6 If the Lease **[**or any other document**]** is to be executed by a party which is an overseas company, that party must provide evidence that the execution is valid and as required by HM Land Registry Practice Guide 78 (except where execution is in accordance with modified section 44(2) Companies Act 2006 set out in regulation 4 of the Overseas Companies (Execution of Documents and Registration of Charges) Regulations 2009).

16. COMPLETION OF THE LEASE

16.1 Unless otherwise agreed, the Landlord must procure that its solicitors provide an execution copy of the Lease **[**and the Rent Deposit Deed**]]** to the Tenant's solicitors as soon as reasonably practicable after completion of the Landlord Works **[**or if later, the Measurement Date**]**.

16.2 The parties must execute the documents in preparation for completion.

16.3 On the Lease Completion Date:

16.3.1 the Landlord must grant (or procure the grant of) the Lease to the Tenant free of the occupation of any other lawful occupier[72] and the Tenant must accept the Lease;

16.3.2 **[**the Landlord and Tenant must enter into the Rent Deposit Deed**]**;

16.3.3 the Tenant **[**and the Guarantor**]** must deliver to the Landlord the counterpart**[**s**]** of the Lease **[**and**]** the Rent Deposit Deed**]**; **[**and**]**

16.3.4 the Tenant must pay **[**the Rent Deposit and[73]**]** all **[**other**]** amounts due under the Lease on the Lease Completion Date by Electronic Payment; **[**and

16.3.5 the Landlord must provide the Tenant with **[**the **[**consent**[**s**]] [**certificate**[**s**]] [***other***]** to satisfy the restriction at entr**[**y**][**ies**] [ ]** of title number **[ ]].]**[74]

16.4 The Landlord and Tenant will enter into the Licence for Alterations on the later of:

16.4.1 the Lease Completion Date;

16.4.2 10 Business Days after approval of the Tenant Works Plans **[**(including any Additional Plans) under Clause 9**]**; or

16.4.3 five Business Days after the Landlord's solicitors provide an execution copy of the Licence for Alterations to the Tenant's solicitors.

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72 The grant of the lease free from lawful occupation will be the case in almost all uses of this Agreement, but where the lease is being granted subject to other lawful occupation (for example, a substation lease or other occupier) the wording will need to be adapted.

73 Delete reference to Rent Deposit if it is to be paid before completion (see clause 4) or there is not a deposit.

74 This option is for where the Tenant requires certificates or consents in order to register the Lease required by any restrictions on the Landlord's registered title. For certainty, agree and specify the restrictions that need to be complied with and whether a consent or certificate is required.

16.5 If any document is executed by an attorney for a party, that party must provide to the other**[**s**]** on completion:

16.5.1 a copy of the relevant power of attorney certified in accordance with section 3 of the Powers of Attorney Act 1971[75];

16.5.2 evidence or confirmation of the identity of any attorney reasonably required for the application to register the **[**rights granted by the[76]**]** Lease at HM Land Registry; and

16.5.3 (where the relevant power of attorney has been executed using an electronic signature) a conveyancer certificate in a form which satisfies the requirements of HM Land Registry Practice Guide 82 in relation to the electronic signature on the power of attorney.

16.6 If the Lease[77] is executed by a party using an electronic signature, that party (unless the other party's solicitors are controlling the signing process) must procure that on completion its solicitors provide a conveyancer certificate in a form which satisfied the requirements of HM Land Registry Practice Guide 82 in relation to the electronic signature.

17. DEALINGS WITH THIS AGREEMENT[78]

17.1 The Tenant must not assign, underlet, charge or otherwise share or part with or otherwise deal in any way with the Tenant's interest under this Agreement.

17.2 The Tenant must itself take up the grant of the Lease.

17.3 After the grant of the Lease, the Tenant may assign the benefit of this Agreement on the same terms and subject to the same requirements as apply to the Lease but only simultaneously with a lawful assignment of the Lease and to the same person.

18. VAT

18.1 All sums or other consideration required to be paid under this Agreement for a supply for the purpose of the Value Added Tax Act 1994 ("**VAT Supply**") are exclusive of VAT.

18.2 The relevant party must pay:

18.2.1 VAT on any consideration in respect of a VAT Supply to another party at the same time as the consideration is paid; and

18.2.2 on demand VAT (and interest, penalties and costs where these are incurred because of anything the relevant party does or fails to do) charged in respect of any VAT Supply to the other party in respect of this Agreement where that VAT is not recoverable by the other party from HM Revenue and Customs.

18.3 Any person making a VAT Supply under the terms of this Agreement must issue a valid VAT invoice to the recipient of that supply upon receipt of the consideration (including VAT) due.

18.4 The Tenant must not do anything that would result in the disapplication of any option to tax in respect of the Landlord's interest in the Landlord Property.

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75 Section 125(2) LPA 1925 gives a buyer a right to obtain a copy of the power but will want to ensure proper certification for validity and HM Land Registry requirements.

76 Include if the rights granted by the lease are registrable but the lease is not.

77 Expand if any other documents pursuant to this agreement need to be presented to HM Land Registry.

78 If the parties agree that dealing with the agreement is permitted, consider changes to the Notices clause (clause 24) to accommodate changes in identity of the parties.

19. **PAYMENTS AND INTEREST**

19.1 All sums payable on the Lease Completion Date under this Agreement must be paid by Electronic Payment **[**between the parties' solicitors**]**.[79]

19.2 Any sum due from one party to another party (both being parties to this Agreement) which is not paid when it is due will bear interest at the **[**Interest Rate (as defined in the Lease)**]** in respect of the period from when it became due to the date of payment (whether before or after judgment).

20. **ENDING THIS AGREEMENT**

20.1 For the purposes of this clause 20 an **"Event of Default"** occurs if:

20.1.1 an Insolvency Default Event occurs at any time before completion of the Lease; or

20.1.2 there is at any time any material breach by the Tenant of any of its obligations under this Agreement (including failure to accept the grant of the Lease in accordance with clause 16.3.1) and the breach is either not capable of being remedied or continues for or has not been remedied within 20 Business Days (time being of the essence) after service on the Tenant by the Landlord of formal notice specifying the default and referring to this clause 20.1.2.**]**[80]

20.2 After an Event of Default the Landlord may (in addition to and without affecting any other rights and remedies it may have) end this Agreement by giving formal notice to the Tenant to that effect.

20.3 Either the Landlord or the Tenant may end this Agreement by giving formal notice to the other if the Landlord Works Completion Notice has not been issued by **[ ]**[81] but notice cannot be given after either a Landlord Works Completion Notice has been given or (If earlier) the Access Date has occurred.

20.4 [82]**[**If the Lettable Area is greater than the Maximum Area or smaller than the Minimum Area the Tenant may end this Agreement by giving formal notice to the Landlord within 10 Business Days of the Measurement Date. This Agreement will end on the service of such a notice and (in addition to the application of clause 20.3) any licence fees paid under clause 10.1.4 relating to a period after the date of the notice will be repaid to the Tenant within 10 Business Days by Electronic Payment.**]**

20.5 If this Agreement ends:

20.5.1 the Tenant must immediately vacate the Premises and remove from the Premises all chattels and other things belonging to the Tenant and (if any) all building and other materials and equipment on the Premises in connection with the Tenant Works making good to the reasonable satisfaction of the Landlord any damage caused by such removal and clause [4.13.4] of the Lease will apply;[83]

20.5.2 in addition to any other express requirement of this Agreement, the Tenant must immediately procure the cancellation of any notice registered at HM Land Registry in respect of this Agreement; and

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79 If either party is unrepresented, this provision will need to be amended to reflect agreed payment mechanism.

80 The second element should be removed if there are no tenant obligations that would be capable of remedy.

81 This is intended to be absolute longstop on landlord works (not a target date). This is intended for minor landlord works so there are no extensions. There is no express prohibition on termination by a party who is in breach of its obligations (due to the uncertainty that causes). Parties should therefore take that into account when agreeing the relevant period.

82 If the commercial agreement is to allow termination, it is likely the reliance letter requirement in 8.1.4 will be required.

83 This clause does not provide any express right for the landlord to take possession of partially completed tenant works, materials and other items. The terms of the lease apply (clause 4.13.4 if using MCL lease). If using a different type of lease, the parties should check they are satisfied with how items left at the Premises will be dealt with.

20.5.3 the rights of any party against the other(s) under this Agreement in respect of any prior breach will not be affected.

21. DISPUTES[84]

21.1 In the event of any disagreement or dispute between the parties relating to the Landlord Works or approval of the Tenant Works, any disputing party can require the issue to be decided by an independent expert. If the Landlord and the Tenant do not agree on the identity of the expert, the expert will be appointed by the President of the Royal Institution of Chartered Surveyors on the application of either the Landlord or the Tenant. The expert will:

21.1.1 invite the Landlord and the Tenant to make representations with any relevant supporting documentation;

21.1.2 give the Landlord and the Tenant an opportunity to make counter submissions;

21.1.3 give written reasons for their decisions, which will be binding on the parties; and

21.1.4 be paid by the Landlord and the Tenant in the shares and in the manner that the expert decides (or failing a decision, in equal shares).

21.2 The expert must be an independent chartered building surveyor of not less than 10 years' standing who is experienced in the relevant matter.

21.3 If the expert dies, becomes unwilling or incapable of acting or it becomes apparent for any other reason that the expert will be unable to decide the matter in dispute within a reasonable time, the expert may be replaced by a new expert who must be appointed on the terms set out in this clause.

21.4 Responsibility for the costs of referring a dispute to an expert, including costs connected with the appointment of the expert, will be decided by the expert and failing a decision, they will be shared equally between the parties. If the expert will not issue a decision until the expert's costs have been paid, either party may pay the whole of the costs and the other party must reimburse the relevant share within 10 Business Days of demand.

22. EXCLUSION OF SECURITY OF TENURE

22.1 The Landlord and the Tenant confirm that before Today:

22.1.1 a notice complying with Schedule 1 to the Regulatory Reform (Business Tenancies) (England and Wales) Order 2003 which relates to the tenancy to be created by the Lease was served by the Landlord on the Tenant; and

22.1.2 a statutory declaration complying with paragraph 8 of Schedule 2 to that Order was made by or on behalf of the Tenant.

22.2 [85]**[**The Landlord and the Guarantor confirm that before Today:

22.2.1 a notice complying with Schedule 1 to the Regulatory Reform (Business Tenancies) (England and Wales) Order 2003 which relates to the tenancy to be created pursuant to this Agreement was served by the Landlord on the Guarantor; and

22.2.2 a statutory declaration complying with paragraph 8 of Schedule 2 to that Order was made by or on behalf of the Guarantor.**]**

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84 This clause is limited to disputes relating to the Landlord Works and approval of Tenant Works. If the Agreement is expanded to include other matters requiring dispute resolution (e.g. conditionality) then parties will need to consider adapting this clause or including appropriate alternative dispute resolution mechanisms in the appropriate places.

85 Guarantor contracting out relates to the Guarantor's obligation to take the Lease under this agreement. It does not relate to the any obligation on the Guarantor to take a new lease (a default lease) under the provisions of the guarantee in the lease itself (which is consistent with the contracting out endorsement in the MCL Leases).

22.3 The Landlord **[**and**]** the Tenant **[**and the Guarantor**]** agree and declare that the provisions of sections 24–28 (inclusive) of the Landlord and Tenant Act 1954 will not apply to the tenancy created by the Lease.

23. [GUARANTOR'S OBLIGATIONS[86]

23.1 The Guarantor, as primary obligor, guarantees to the Landlord that:

23.1.1 the Tenant will comply with all the Tenant's obligations in this Agreement. If the Tenant defaults, the Guarantor will itself comply with those obligations (including accepting the grant of the Lease and entering other documents referred to in clause 15) and will indemnify the Landlord against all losses, costs, damages and expenses caused to the Landlord by that default;

23.1.2 if the Court orders the Tenant to pay them, the Tenant will pay the Landlord's costs incurred in relation to any legal proceedings in relation to this Lease in accordance with that Court order. If the Tenant defaults, the Guarantor will itself comply with the obligation to pay those costs; and[87]

23.1.3 it will indemnify the Landlord against all losses, costs, damages and expenses caused to the Landlord by the Tenant proposing or entering into any company voluntary arrangement, scheme of arrangement or other scheme having or purporting to have the effect of impairing, compromising or releasing any or all of the obligations of the Guarantor in this clause 23.

23.2 The Guarantor's liability will not be reduced or discharged by:

23.2.1 any failure for any reason to enforce in full, or any delay in enforcement of, any right against, or any concession allowed to the Tenant or any third party;

23.2.2 any variation of this Agreement;

23.2.3 any right to set-off or counterclaim that the Tenant or the Guarantor may have;

23.2.4 any death, incapacity, disability or change in the constitution or status of the Tenant, the Guarantor or of any other person who is liable, or of the Landlord;

23.2.5 any amalgamation or merger by any party with any other person, any restructuring or the acquisition of the whole or any part of the assets or undertaking of any party by any other person;

23.2.6 the existence or occurrence of any Insolvency Default Event in relation to the Guarantor; or

23.2.7 anything else other than a release by the Landlord by deed.

23.3 The Guarantor must not claim in competition with the Landlord in the insolvency of the Tenant and must not take any security, indemnity or guarantee from the Tenant in respect of the Tenant's obligations under this Agreement.**]**

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86 These Guarantor obligations follow the structure and the wording from the MCL Leases but adapted for the context of the Tenant's obligations in this agreement by removing the "default lease" obligations and including an express obligation on the Guarantor to take up the Lease in clause 23.1.1.

87 In Kaushal Corp v O'Connor [2023] EWHC 618 (KB), the Landlord was not able to recover costs that the court had ordered the Tenant to pay in relation to legal proceedings from the guarantor of the lease. The terms of the lease did not include a tenant's covenant to pay those costs and, therefore, the guarantor's obligations did not extend to the payment of costs that the court had ordered the Tenant to pay to the Landlord.

24. **NOTICES**[88]

24.1 **[**Clause **[ ]** of the Lease applies to formal notices[89] served under this Agreement.**]**

OR

24.2 **[**Any formal notice must be in writing and sent [by pre-paid first class post or special delivery to or otherwise delivered to or left at the address of the recipient under clause 24.3 or to any other address in the United Kingdom that the recipient has specified as its address for service by giving not less than 10 Business Days' formal notice under this clause 24.[90]][:]

24.2.1 [by pre-paid first class post or special delivery to or otherwise delivered to or left at the address of the recipient under clause **24.3** or to any other address in the United Kingdom that the recipient has specified as its address for service by giving not less than 10 Business Days' formal notice under this clause **24**; or

24.2.2 by email to the email address of the recipient under clause **24.5** or to any other email address that the recipient has specified as its address for service by email by giving not less than 10 Business Days' formal notice under this clause 24.[91]]

24.3 [92]**[**Unless served by email, a[93]**][**A**]** formal notice served on:

24.3.1 [94]**[**the Landlord**[**,**][**or**]** **[**the Tenant**][**,**][**or**]** **[**the Guarantor**]** must be served at its registered office;

24.3.2 [95]**[**the Landlord**[**,**][**or**]** **[**the Tenant**][**,**][**or**]** **[**the Guarantor**]** must be served at the following address:

(a) **[[**NAME OF LANDLORD**]** – **[**ADDRESS**]**; **[**and**]**

(b) **[**NAME OF TENANT**]** – **[**ADDRESS**]**; **[**and**]**

(c) **[**NAME OF GUARANTOR**]** – **[**ADDRESS**].]**

24.4 A formal notice given will be treated as served on the second Business Day after the date of posting if sent by pre-paid first class post or special delivery or at the time the formal notice is delivered to or left at the recipient's address if delivered to or left at that address.

24.5 **[**A formal notice served by email will be treated as served 1 hour after the date and time that the email is sent unless the recipient can prove that it has not received the email. The following are the specified email addresses for service:

24.5.1 in respect of **[**NAME OF LANDLORD**]** – **[**EMAIL ADDRESS**]**;

24.5.2 in respect of **[**NAME OF TENANT**]** – **[**EMAIL ADDRESS**]**; and

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88 Parties need to consider their own positions and expectations regarding notices and communication – and in particular whether the agreement should have different requirements than the Lease to reflect the likely larger amount of communication during the period of Landlord Works, Tenant Works and satisfaction of any pre-conditions. Cross refer to the Lease if it's to be the same notice provisions – or the provisions are set out in full if the parties want to modify them for the Agreement.

89 Check the lease includes provisions for formal notices. If not, use the following provisions.

90 Use this option where service by email is not a permitted form of service for formal notices.

91 Use this option where service by email is a permitted form of service for formal notices.

92 This clause does is a shorter version of the equivalent in the lease because it does not anticipate change of parties in the same way the lease notice clause does – the expectation being that the parties will not change during the time that notices under this Agreement would be relevant. For longer term agreements where there is a possibility that the Landlord might change, consider adapting the provisions or using the option to cross refer to the Lease.

93 Use this option where service by email is a permitted form of service for formal notices.

94 Name the parties here if they are a company or limited liability partnership registered in the United Kingdom.

95 Name the parties here if they are an overseas entity and state an address for service in the United Kingdom.

24.5.3 **[**in respect of **[**NAME OF GUARANTOR**]** – **[**EMAIL ADDRESS**]]**

24.6 If a formal notice is served on a day that is not a Business Day or after 5.00pm on a Business Day it will be treated as served at 9.00am on the next Business Day.

24.7 **[**Service of a formal notice by fax **[**or email**]** is not a valid form of service under this Agreement.

24.8 Following the grant of the Lease, the notice provisions in the Lease will apply in relation to any outstanding obligations in this Agreement.[96]

24.9 Communication, information and notification relating to the implementation of this Agreement that does not require formal notice may be sent by email to and from the representatives of the parties **[**(whether or not the named contacts in clause 24.5)**]**.

25. LANDLORD OBLIGATIONS[97]

25.1 The obligations in clause **[**4**][**6**]** (Landlord **[**Inducement Payment**][**Contribution to Tenant Works**]**) and **[**clause **[**7**]** (Landlord Works)[98]**]** are personal and binding only on the Landlord named in this Agreement.

25.2 **[**The Landlord's obligations and duties in respect of the design, supervision, carrying out and completion of the Landlord Works and the fitness of the Landlord Works for the purposes of the Tenant are expressly limited to the express contractual obligations contained or referred to in this Agreement and any other right of action by the Tenant, its successors in title or persons deriving title under it against the Landlord (whether in tort or otherwise) are excluded.**]**

25.3 **[**[99]The Landlord will not be liable in respect of any claims for loss of profits, loss of business or indirect losses of any kind arising from any breach by the Landlord of its obligations contained in this Agreement or arising from any other claims under this Agreement.**]**

26. ENTIRE AGREEMENT

This Agreement constitutes the entire agreement between the parties relating to grant of the Lease.

27. NON-MERGER

In so far as any obligations or liabilities under this Agreement are outstanding or remain to be performed or satisfied after completion of the Lease they will remain to be performed or satisfied notwithstanding the grant of the Lease.

28. JURISDICTION

28.1 This Agreement and any non-contractual obligations arising out of or in connection with it will be governed by the law of England and Wales.

28.2 Subject to clause 28.3 and any provisions in this Agreement requiring a dispute to be settled by an expert, the courts of England and Wales have exclusive jurisdiction to decide any dispute

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96 This provision is intended to avoid any traps for the unwary if there is any discrepancy between the notice provisions (for example where email may be permitted under the agreement but not the lease).

97 Consider which obligations other than landlord's works should be personal – for example any obligations in additional pre-conditions.

98 If the Landlord Works provisions are included for minor works, it is expected that although the obligations will be personal, the original landlord will remain liable notwithstanding completion of the lease or transfer of its interest in the property. This ongoing liability should be commercially acceptable to landlords in the context of liability for carrying out minor works in accordance with the agreement obligations and certifying completion of those works in accordance with the process set out in this agreement.

99 Parties should consider their commercial expectations in relation to the inclusion of this clause. The drafting acknowledges that while direct losses, like the cost of alternative accommodation, are recoverable, an exposure to potential indirect losses and loss of profit for the tenant, may outweigh the commercial benefit of the transaction to the landlord.

arising out of or in connection with this Agreement, including in relation to any non-contractual obligations.

28.3 Any party may seek to enforce an order of the courts of England and Wales arising out of or in connection with this Agreement, including in relation to any non-contractual obligations, in any court of competent jurisdiction.

29. **CONTRACTS (RIGHTS OF THIRD PARTIES) ACT 1999**

Nothing in this Agreement creates any rights benefitting any person under the Contracts (Rights of Third Parties) Act 1999.

30. **[CONFIDENTIALITY**

30.1 Subject this clause 30, no party to this Agreement may without the prior written consent of each of the others **[**except the Guarantor**]**[100] **[**(in each case in their absolute discretion)**]** disclose or publish or cause disclosure or publication of the existence and/or financial terms of this Agreement and each party must keep all such information confidential.

30.2 The parties to this Agreement are not prevented from disclosing the existence or **[**financial**]** terms of this Agreement:

30.2.1 where disclosure is required in order to comply with any Act, or the rules of any listing authority or an order of the English court or other competent authority; and/or

30.2.2 to any professional adviser (including an expert appointed to resolve a dispute) or potential or actual successors in title or bona fide lenders who agree to keep such information confidential.

30.3 The Tenant must not:

30.3.1 send a copy of this Agreement or any of its contents to HM Land Registry;

30.3.2 note this agreement at HM Land Registry except by means of a unilateral notice.**]**

31. **LEGAL EFFECT**

[101]**[**This Agreement has been executed as a deed by the parties as a deed but is not delivered until Today.**]**

[This Agreement takes effect and binds the parties from and including Today.**]**

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100 Consider adapting if the parties do not think the Guarantor should have a say.

101 Testimonium clauses for a simple contract and a deed are included even though it is acknowledged that nothing in this template (as originally drafted) requires the formality of a deed. Users should choose the appropriate execution clauses and testimonium for the particular transaction.

Signed by **[ ]** .....
for and on behalf of **[ ]**

Executed as a deed by

[*company name***]**

acting by two Directors/a Director

and its Secretary

.....
Director

.....
Director/Secretary

Executed as a deed by
[*company name***]**
acting by a director

.....
Director

In the presence of:

.....
Signature of witness

……
Witness Name (in BLOCK CAPITALS)

.....
Address

Signed as a deed by
[ ] .....
in the presence of:

Signature of witness .....

Witness name (in BLOCK CAPITALS) .....

Address .....

Executed as a deed by the Landlord acting by)

[a director and its secretary**]** or by **[**two directors**]**:)

Signature of Director

Signature of Director/Secretary

Executed as a deed by the Tenant acting by)

[a director and its secretary**]** or by **[**two directors**]**:)

Signature of Director

Signature of Director/Secretary

[Executed as a deed by the Guarantor acting by)

[a director and its secretary**]** or by **[**two directors**]**:)

Signature of Director

Signature of Director/Secretary**]**